Grigg, unknown to the Viceroy, corresponded directly in this regard with Montagu Norman threatening to resign if Smith was allowed to return. Lord Zetland, the Secretary of State, realized that Grigg was going too far and lost sympathy for him. Grigg finally backed down on receiving a long telegram from Neville Chamberlain, the Chancellor of the Exchequer, explaining Lord Zetland's views, on the affair. The Secretary of State had written to the Viceroy: 'To begin with I dislike having a pistol held at my head, and if Grigg gets away with it this time, we shall be at his mercy forever afterwards.'[71] Grigg also wrote to Chamberlain to ensure that Taylor would be made Governor. A resigned Grigg felt that the Viceroy and the India Office, anxious for peace, had bungled badly giving 'too many hostages to Smith in the way of promises' in order to face a dismissed Smith with equanimity.

Smith kept Purshotamdas posted of the latest developments. On September 22, 1936, he wrote: 'The situation has advanced yet another disastrous stage. The Viceroy is adamant against my returning to India—they fear the repercussions. I have heard all sorts of rumours about the filthy propaganda against me by Grigg and I cabled the Viceroy saying I contemplated action. The Viceroy in reply says Grigg categorically denies everything. They are willing to give me any retirement bonus which does not include my return. I do wish I had your wise counsel alongside me. No one can ever say anything truthfully against my honour or management. Just what Grigg changes are I cannot say at this distance.'[72] In the same letter he wrote that both Montagu Norman and Otto Niemeyer were amazed at Grigg's and the Viceroy's attitude and were agreed that Smith should be allowed to return for the sake of his reputation. 'I am condemned at the testimony or machinations of my sworn enemy during my absence from India, and without reference to my Board.' He ended with 'Of course, Grigg and his puppy Taylor are one. No *more now I am coming back to fight.'*[73] Grigg and Taylor had set a match to the tinder in Smith's character.

The government solicited the opinion of Sir Edward Benthall who was a Director of the bank's Central Board on the ticklish question. Benthall, who was extremely critical of Grigg's temperament as being part of the problem, was equally scathing about Smith's way of courting popularity 'by giving tips in the field of the Reserve Bank's activities.'[74] That Smith certainly did not hesitate to give tips to his capitalist friends is a fact amply corroborated